

LIBERTY CYBER THREAT INTELLIGENCE

THE ALAMO THREAT BRIEF™

OPEN SOURCE INTELLIGENCE

ISSUE	ATB-2026-12
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DOMINANT JUDGMENT	INFRASTRUCTURE CONVERGENCE: THREE ADVERSARIES, ONE SUMMER

Executive decision intelligence for Texas critical infrastructure.

Executive Warning: This week three adversaries moved simultaneously against the infrastructure systems Texas organizations depend on — and the pressure is not sequential. China maintains confirmed covert access inside U.S. critical infrastructure, waiting. Russia is actively escalating hybrid attacks against Western infrastructure and supply chains now. Iran has escalated from rhetoric to operational coercion, asserting sovereignty over undersea fiber-optic cables at the Strait of Hormuz and forcing the suspension of cable repair operations. At the same time, ERCOT is entering its most demanding summer on record. Texas organizations that have not stress-tested continuity against degraded communications, disrupted cloud routing, and grid stress are operating on assumptions that no longer match the environment.

Board Implications This Week — Recognize

This is not a single-incident threat environment. China, Russia, and Iran are each applying pressure to different layers of the same system — communications, infrastructure, and decision timelines. The converging risk is that a failure in one layer accelerates failure in others.

Board Implications This Week — Ask

Which operations fail first if cloud routing is disrupted for 48–72 hours? What is the backup power posture if ERCOT issues a conservation notice during peak AI load demand? Does vendor remote access inventory reflect current state?

Board Implications This Week — Convene

A 90-minute leadership review — no slides required — to map which dependency breaks first under multi-layer degraded conditions. Assign owners and deadlines for any gap. This is a CEO and COO decision, not a CISO-only conversation.

Board Implications This Week — Document

Record this week’s leadership discussion, gaps identified, and remediation assignments. If a disruption occurs and the organization was warned — as it is being warned now — that governance record becomes material to regulatory, legal, and insurance proceedings.

CENTERPIECE ANALYSIS

Confirmed facts: The IRGC has declared operational authority over seven undersea fiber-optic cables transiting the Strait of Hormuz and demanded foreign operators obtain permits and pay fees. Alcatel Submarine Networks — one of the world's largest cable repair operators — paused all regional repair operations in response. With Red Sea cables already degraded from the Houthi conflict, the Hormuz action removes what was effectively the last major redundant Europe-Asia data route. GCHQ Director Anne Keast-Butler stated publicly on 27 May that Russia is “relentlessly” targeting critical infrastructure, supply chains, and democratic processes, and warned that the risk of miscalculation is “the highest I’ve ever seen it.” NSA, FBI, and CISA guidance confirmed that China-linked actors maintain persistent covert access in U.S. energy, telecom, and cloud infrastructure — pre-positioned but not yet activated. ERCOT’s own filings project this summer’s peak demand reaching 90.5–98 GW, exceeding the all-time record of 85.5 GW set in 2023.

Analytic assessment (Moderate-to-High Confidence): These are not parallel stories. They are a converging pressure system. Iran controls a physical chokepoint affecting cloud routing and communications continuity for organizations with Asia-Pacific dependencies. China holds dormant access that could be activated if the Iran conflict or Taiwan security environment escalates further. Russia is escalating hybrid activity against Western infrastructure now — not as a future contingency. ERCOT’s grid enters peak stress season without sufficient firm, dispatchable generation to absorb simultaneous large-load surges from AI data centers. A disruption in any one of these layers — communications, cloud, power — creates cascading consequences across the others. Texas boards and CISOs should assess their organizations against a multi-layer degraded-service scenario, not individual incident models.

Section I

What Changed This Week

Iran Escalated from Rhetoric to Operational Coercion — Hormuz Cables

During the week of 24–31 May, Iranian military and IRGC-linked narratives moved from signaling to operational assertion. IRGC Spokesman Ebrahim Zolfaghari announced on 9 May that Iran would impose fees on undersea cables in the Strait of Hormuz; by late May, state-linked media published detailed cable and cloud infrastructure mapping of the Persian Gulf (sourced to Tasnim, the IRGC-linked outlet) and Iranian officials continued framing cable control as a sovereign right tied to regional negotiations. **Alcatel Submarine Networks has paused all Gulf repair operations** in response. With the Red Sea cable corridor already degraded by the Houthi conflict, there is now no reliable repair capacity for the primary remaining Europe-Asia data route.

CRITICAL INTELLIGENCE WARNING

The cables at risk account for less than 1% of global bandwidth in aggregate — a figure that is misleading for organizations whose routing paths transit the Gulf or whose cloud providers use Middle East hubs for latency optimization. The direct question for Texas executives: does your continuity plan assume uninterrupted cloud routing? If yes, that assumption needs to be tested.

GCHQ Director Issues Unprecedented Public Warning on Russia — 27 May

In a rare public address at Bletchley Park on **27 May 2026**, GCHQ Director Anne Keast-Butler warned that Russia is “relentlessly” targeting critical infrastructure, supply chains, democratic processes, and public trust across the UK and Europe. She described the West as existing in “a space between peace and war,” stated the risk of miscalculation is the highest she has ever observed, and called for cybersecurity to be treated as “ten times more urgent.” She also characterized China as a “science and tech superpower with sophisticated capabilities” and stated AI is being weaponized below the threshold of traditional warfare. This is a Five Eyes-level warning directed at boardrooms, not security teams.

China Strategic Persistence Guidance Reinforced by NSA/FBI/CISA

Federal guidance issued in May 2026 continued to emphasize that China-linked actors — including Volt Typhoon and Salt Typhoon — maintain covert long-duration access in U.S. infrastructure environments with a focus on energy, telecommunications, cloud infrastructure, edge devices, and identity systems. The CISA Secure by Demand initiative extended this warning to vendor and supply-chain accountability. **Confirmed fact:** access exists. **Analytic assessment:** it has not been activated because the contingency it supports — a Taiwan conflict or regional crisis — has not materialized. That gap will close on adversary timelines, not ours.

ERCOT Grid Enters Record-Demand Summer

ERCOT’s own filings project summer 2026 peak demand of 90.5–98 GW, exceeding the all-time record. The Public Utility Commission sent preliminary 112 GW forecasts back as unrealistic, but even the conservative range breaks prior records. AI data center load growth — 73% of large-load interconnection requests are data centers — is outpacing dispatchable generation additions. ERCOT-North hub electricity prices are forecast to surge up to 45% this summer. Texas organizations that have not validated backup power posture are entering peak season on assumptions last tested under materially different grid conditions.

Section II

Key Judgments

KJ-1

Liberty CTI assesses it is **very likely** (80–95%) that Iranian coercion of Hormuz undersea cable infrastructure will escalate from fee-assertion to active interference before a negotiated resolution is reached. **MODERATE CONFIDENCE**

Source basis / uncertainty: Source basis: IRGC spokesman statement (9 May 2026); Alcatel repair suspension reported by The National (18 May 2026); IRGC-linked Tasnim cable mapping cited in RT analysis (26 May 2026, Russian state-affiliated media — used for Tasnim reference only); Stimson Center analysis of Iranian drone strikes on Gulf data centers (April 2026); Guardian, Reuters, and Times of India coverage 25–27 May 2026. Primary uncertainty: Iran has not severed cables to date; U.S.-Iran ceasefire talks remain active and could shift incentives.

Decision implication: Organizations with cloud routing paths or vendor dependencies transiting the Gulf should identify alternative routing and validate continuity procedures before the next escalation event, not after.

KJ-2

Liberty CTI assesses it is **likely** (55–80%) that ERCOT grid stress during summer 2026, compounded by AI data center load concentration, will create exploitable operational vulnerability windows if cyber and physical continuity plans remain separated. **MODERATE CONFIDENCE**

Source basis / uncertainty: Source basis: ERCOT April 2026 Long-Term Load Forecast and PUCT proceeding (Data Center Knowledge, May 2026; NPR, 22 May 2026); Data Center Dynamics Texas AI grid risk reporting (27 May 2026). Primary uncertainty: actual summer peak demand, weather-driven load, and realized data center consumption remain uncertain until load materializes.

Decision implication: Decision Implication: Large grid consumers and ERCOT-connected critical infrastructure operators should confirm cyber incident response and physical continuity plans are integrated before July, not treated as separate documents.

KJ-3

Liberty CTI assesses it is **likely** (55–80%) that China-linked infrastructure persistence represents a pre-conflict access strategy that will be activated against U.S. critical infrastructure during a future Taiwan or regional crisis — and that Texas energy, telecom, and AI/data-center infrastructure are inside that targeting set. **HIGH CONFIDENCE**

Source basis / uncertainty: Source basis: NSA/FBI/CISA Joint Guidance (May 2026); CISA China Threat Overview citing ODNI 2026 Annual Threat Assessment; Cybersecurity Dive (26 May 2026); Financial Times (27 May 2026, subscription required). Primary uncertainty: activation timeline is entirely adversary-controlled; no confirmed active Texas intrusion identified in open reporting this week. This is a structural judgment, not a current-incident finding.

Decision implication: Decision Implication: Edge-device visibility, identity governance, and vendor remote-access inventories should be reviewed now against a degraded-operations scenario, not deferred to next fiscal year planning.

Section III

Cross-Sector Implications

Energy ERCOT / Grid / OT	ERCOT is entering its highest-risk summer on record. Peak demand is forecast to break the all-time record of 85.5 GW — driven substantially by AI data center load growth the grid was not built to absorb at this pace. ERCOT acknowledged concerns about its own planning reliability, and 73% of large-load interconnection requests are data centers. Any coincident disruption — adversary cyber event against grid management systems, extreme heat, or equipment failure — compresses response time dramatically. Action this week: OT security posture and backup generation capacity should be reviewed before July. Organizations dependent on uninterrupted power for AI operations, healthcare, or financial processing should validate degraded-operations assumptions now.
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Financial Payments / Recovery / Markets	Texas financial institutions with Asia-Pacific counterparty exposure, cloud-based transaction processing, or cross-border payment operations face elevated communications continuity risk from the Hormuz cable situation. The more immediate financial risk is market volatility: oil prices remain sensitive to Hormuz escalation, and any Iranian action against cables or shipping would generate rapid energy price movement with direct downstream effects on Texas energy-sector equities, derivatives exposures, and credit portfolios. Finance leadership should verify continuity plans account for simultaneous communications disruption and energy market volatility — not either condition in isolation. Action this week: Map payment operations against a 48–72 hour cloud or telecom routing disruption scenario.
Healthcare / DIB / AI Continuity / Supply Chain	Healthcare organizations dependent on cloud-hosted clinical applications, remote diagnostic tools, or vendor-managed systems face compounding risk from adversary persistence in shared infrastructure and a degrading global communications layer that could slow incident response. DIB contractors in Texas — particularly those supporting logistics, manufacturing, or command-and-control — should treat the GCHQ warning about Russian supply chain targeting as directly applicable, not as a European concern. AI infrastructure operators face the sharpest convergence: ERCOT grid stress, potential cloud routing disruption, and China persistence create a scenario where availability assumptions embedded in AI service agreements may not survive a multi-layer stress event. Action this week: Confirm fallback operations and identify continuity-critical workloads before summer peak load begins.

Section IV

Indicators to Watch

IND 1 Alcatel Suspension Status — Gulf Cable Repair Operations [↑ Rising]

- Alcatel issues formal statement on indefinite suspension of Gulf operations
- Additional cable repair operators announce withdrawal from Hormuz region
- Cloud providers begin publishing latency advisories for Asia-Pacific routing
- Insurance market suspends or reprices undersea cable coverage in the Gulf

If Alcatel formally extends or makes permanent its suspension of Gulf repair operations, the redundancy math for Europe-Asia cable routing deteriorates further. Watch for operator service advisories, insurance market reactions, or additional repair companies withdrawing.

IND 2 Iranian Escalation — Physical Interference with Hormuz Cables [↑ Rising]

- Iranian vessel reported operating near known cable routes in the Strait
- Cable operator issues service disruption alert for Gulf-transiting systems
- U.S. Navy issues navigational warning related to cable infrastructure protection
- Formal diplomatic protest filed by cable-operating nations against Iran

The IRGC has mapped the infrastructure and issued demands. The next escalation step is interdiction. Watch for any vessel interference, anchor-drag incidents, or cable service disruption alerts from operators transiting the Gulf.

IND 3 ERCOT Emergency Conservation Notices — Summer Grid Margin [↑ Rising]

- ERCOT issues Conservation Appeal or Energy Emergency Alert prior to July 15

- ERCOT activates demand response programs before historical peak demand window
- Unplanned generation outage during elevated load period reduces operating reserve margin
- PUCT convenes emergency session on grid adequacy

Any conservation notice issued before peak summer load conditions signals that grid margin assumptions are already under pressure and that July–August stress events carry materially elevated risk.

IND 4 NSA/CISA/Five Eyes Sector-Specific China Advisory [[↑ Rising](#)]

- CISA or NSA publishes advisory naming specific Texas-relevant sectors or vendors
- Five Eyes nations release coordinated advisory on China infrastructure activity
- DOE or HHS issues sector-specific China threat guidance
- Congressional hearing convened on China critical infrastructure access

Current guidance is category-level. A sector-specific advisory naming energy, cloud, or identity systems with specific TTPs would signal activity consistent with pre-conflict activation posturing, not just pre-positioning.

IND 5 Russia Escalation — Confirmed Destructive Event Against NATO Member Infrastructure [[↑ Rising](#)]

- NATO member attributes confirmed destructive cyber incident to Russian GRU or SVR actors
- Physical sabotage of undersea cable, pipeline, or logistics node confirmed in NATO territory
- U.S. government issues domestic advisory citing Russian hybrid escalation
- CISA activates enhanced monitoring posture for domestic critical infrastructure

The GCHQ warning is calibrated against UK and European exposure. A confirmed destructive cyber event or physical sabotage against a NATO member’s critical infrastructure would represent a threshold crossing that changes the risk calculus for U.S.-aligned organizations, including Texas DIB contractors.

Section V

Governance Implication Block

Decision at Risk	Whether current continuity and resilience plans are adequate against a multi-layer degraded-service scenario — simultaneous communications disruption, cloud routing instability, and ERCOT grid stress — before summer peak load conditions arrive. This decision cannot be made by a security team alone.
Owner	CEO, CISO, and COO jointly. Power continuity, cloud vendor dependency, and communications redundancy each require an operational owner. Treating this as a CISO-only problem misframes the decision.
Consequence of Delay	Entering summer peak load season without validated fallback procedures means the first major stress event — whether adversary-driven or operational — requires real-time decision-making under conditions leadership has not rehearsed. The compounding nature of this threat environment means single-point failures are more likely to cascade than in prior years.

Action This Week	Convene a 90-minute leadership review — no slides required — to answer three questions: (1) Which operations fail first if cloud routing is disrupted for 48–72 hours? (2) What is the backup power posture if ERCOT issues a conservation notice during peak AI load demand? (3) Does the vendor access and remote connection inventory reflect current state, or is it 12 months stale? Assign owners and deadlines for any gap identified.
Record to Preserve	Document this week's leadership discussion, the gaps identified, and the assigned remediation actions. If a disruption occurs and the organization was warned — as it is being warned now — the governance record of what was assessed, decided, and assigned becomes material to regulatory, legal, and insurance proceedings.

From Warning to Decision

Test what this means for your organization.

Reading the warning is one thing. Knowing whether your leadership would recognize it, decide in time, and document the call is another. Liberty CTI starts by establishing your decision environment, then tests it under pressure.

EXECUTIVE INTELLIGENCE BASELINE + EXECUTIVE DECISION EXERCISE →

Section VI — Sourcing

Open Source Basis

PRIMARY SOURCES — ATB-2026-12 — COVERAGE WEEK 24–31 MAY 2026

GOVERNMENT / REGULATORY

NSA / FBI / CISA — Joint Guidance: Countering China State-Sponsored Actors Targeting U.S. Critical Infrastructure

[nsa.gov — Joint Guidance, May 2026](#)

Basis for China persistence judgment (KJ-3), cross-sector implications, and Indicators to Watch. Used for Executive Warning and Dominant Judgment.

GOVERNMENT / REGULATORY

CISA — Secure by Demand Initiative

[cisa.gov/securebydemand — May 2026](#)

Basis for vendor accountability framing in Healthcare/DIB sector implication and Governance Implication Block.

GOVERNMENT / REGULATORY

CISA — China Threat Overview (citing ODNI 2026 Annual Threat Assessment)

[cisa.gov/topics/cyber-threats-and-advisories/nation-state-cyber-actors/china](#)

Basis for Volt Typhoon and Salt Typhoon confirmed targeting assessment (KJ-3). ODNI 2026 ATA cited within CISA overview.

GOVERNMENT / REGULATORY

CISA — CI Fortify Initiative (Continuing Baseline from ATB-2026-10)

[cisa.gov — CI Fortify, May 2026](#)

Carried forward as continuing federal baseline for degraded-service continuity assumptions. Not counted as a new current-week development.

ALLIED INTELLIGENCE

GCHQ Director Anne Keast-Butler — Inaugural GCHQ Annual Lecture, Bletchley Park, 27 May 2026[ITV News — 27 May 2026](#)

Basis for Russia hybrid escalation assessment, What Changed section, and Indicator 5. Three independent outlets confirming same speech content.

GRID / REGULATORY**ERCOT — April 2026 Long-Term Load Forecast (PUCT Filing)**[Data Center Knowledge — May 2026](#)

Basis for ERCOT demand concentration and grid vulnerability assessment (KJ-2, Energy implication, Indicator 3). NPR dated 22 May; included as same news cycle.

INDUSTRY**Data Center Dynamics — Texas AI Data Center Growth and Grid Risk**[datacenterdynamics.com — 27 May 2026](#)

Cited for AI infrastructure concentration risk in Texas and ERCOT load growth context.

OPEN SOURCE**The National News — Alcatel Suspension of Gulf Cable Repair Operations**[thenationalnews.com — 18 May 2026](#)

Primary source for Alcatel operational pause. Cited for KJ-1, What Changed section, and Indicator 1.

STRATEGIC ANALYSIS**Stimson Center — Beneath the Strait: Iran Could Threaten Gulf Data Centers and Undersea Cables**[stimson.org — April 2026](#)

Cited for Iranian drone strikes on Bahrain and UAE data centers and cable disruption risk analysis. Stimson Center is a nonpartisan research institution; cited for analysis only.

OPEN SOURCE**CNN — Iran Eyes New Source of Power Beneath the Strait of Hormuz**[CNN — 17 May 2026](#)

Cited for TeleGeography cable routing analysis (Falcon and GBI cables in Iranian waters) and bandwidth concentration figures.

OPEN SOURCE**The Guardian — Iran Hormuz Cable and Telecom Tensions (25, 26, 27 May 2026)**[The Guardian — 25 May](#)

Corroborating coverage of Iranian cable coercion signaling across three days. Used for pattern confirmation in What Changed section.

OPEN SOURCE**Reuters — Iran Maritime Security and Hormuz Telecom (26, 27 May 2026)**[Reuters — 26 May 2026](#)

Corroborating Iranian maritime and telecom coercion reporting. Used for Finance sector implication.

OPEN SOURCE**Times of India — Iran: Managing Strait Is Legal Right Amid Ceasefire Talks, 25 May 2026**[Times of India — 25 May 2026](#)

Cited for Iranian sovereign framing of Hormuz cable control during U.S. ceasefire negotiations.

OPEN SOURCE**The Guardian — Russia Hits Kyiv with Oreshnik Hypersonic Missile, 24 May 2026**[The Guardian — 24 May 2026](#)

Cited for Russia continued infrastructure escalation and wartime signaling assessment.

OPEN SOURCE

Washington Post — Russia-Ukraine Drone and Missile Strikes on Infrastructure, 25 May 2026

[Washington Post — 25 May 2026](#)

Cited for Russia continued infrastructure targeting and retaliation narrative assessment.

SECONDARY / INDUSTRY

Cybersecurity Dive — China Cyber Persistence and Critical Infrastructure Warning, 26 May 2026

[cybersecuritydive.com — 26 May 2026](#)

Secondary. Cited for sector-specific China persistence framing. Underlying basis is NSA/FBI/CISA guidance (above).

SECONDARY / NOTE

RT News — Iran Undersea Cable Coverage, 26 May 2026

[RT — 26 May 2026](#)

Editorial caution: Russian state-affiliated media. Cited only for the referenced IRGC-linked Tasnim cable and cloud infrastructure mapping (22 April 2026). Editorial framing excluded. Cross-confirmed against CNN and The National coverage.

TORCH FUSION CYCLE

WHAT: The week of 24–31 May 2026 was defined by adversary convergence, not a single incident. Russia escalated infrastructure attacks against Ukraine and received a rare, unprecedented public warning from GCHQ about hybrid activity against Western targets. Iran moved from Hormuz cable signaling to operational coercion, forcing the suspension of submarine cable repair operations in the Gulf. China's infrastructure persistence posture was reaffirmed by NSA/FBI/CISA guidance and the ODNI 2026 Annual Threat Assessment. ERCOT entered the approach to its most demanding summer on record. **WHO:** NSA/FBI/CISA, GCHQ, ERCOT/PUCT, and multi-source open reporting defined the current-week evidence base. China Volt Typhoon and Salt Typhoon clusters remain the strategic pre-positioning reference threat. Iranian IRGC cable coercion is the near-term crisis driver. Russia GRU/SVR hybrid activity is the active escalation threat. **WHY:** Texas matters because grid, telecom, cloud, finance, healthcare, DIB, and AI/data-center dependencies are tightly coupled. Adversaries do not need to defeat every sector. They only need to disrupt the node that creates the most pressure across the system. **WHAT NEXT:** Leadership should not wait for an individual incident to validate continuity assumptions. The compounding nature of this week's threat environment means the first stress event under degraded conditions will arrive faster than rehearsal cycles allow. The immediate task is not to buy another tool. It is to know which dependency breaks first, who owns the decision, and what record shows leadership acted before the event. *Warnings that arrive too late are not warnings. They are after-action reports.*

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